

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-31

TPG PRESSURE, INC.
COMPLAINANT

v.

EPIC FREIGHT SOLUTIONS LLC and
OMNI LOGISTICS LLC,
RESPONDENTS.

TPG PRESSURE, INC.'S PROPOSED FINDINGS OF FACT

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COMPLAINANT'S PROPOSED FINDINGS OF FACT

Complainant TPG Pressure Inc. (“**TPG**”), pursuant to 46 CFR § 502.214 and the Office of Administrative Law Judge’s Scheduling Orders, dated May 12, 2023 and January 16, 2024, states the following Proposed Findings of Fact (“**PFF**”).

A. The Parties

1. TPG Pressure, Inc.

1. TPG is a corporation organized under the laws of the State of Texas with a principal place of business at 1003 Macarthur Blvd, Grand Prairie, TX 75050. (Basiri Decl. ¶ 2, Feb. 22, 2024.)

2. TPG is a supplier and installation contractor of concrete, steel, fiberglass, and polymer pipes and structures used for drainage, sanitary, pressure, and trenchless applications. Products used by TPG are imported from outside the United States, including from such countries as Turkey, Colombia, and others. (Basiri Decl. ¶ 3.)

2. Epic Freight Solutions, LLC

3. Epic Freight Solutions, LLC (“**Epic**”) was and is a limited liability company organized under the laws of the State of Wyoming, with its current mailing address at 3200 Olympus Blvd., Suite 300, Dallas, Texas 75019. (Resp’ts’ Answer & Affirmative Defenses to First Am. V. Compl. ¶ 3 (admitted) May 2, 2023, CApp10996-11007 at 97.)

4. Epic was a licensed non-vessel-operating common carrier (“**NVOCC**”), with license number 027656 from on or about June 14, 2019, until at least the date of the Notice of Filing of this action on November 29, 2022. (Epic Freight Solutions LLC FMC Tariff No. 001 (hereinafter, “**Epic’s Tariff**”), CApp10749-893; Resp’ts’ Answer & Affirmative Defenses to First Am. V. Compl. ¶ 5 (admitted), CApp10996-11007 at 97.)

5. Epic’s Tariff was published and available to the public for a fee. (Epic’s Tariff, CApp10749-893.)

6. Epic was also licensed as an ocean freight forwarder at all relevant times. (Federal Maritime Commission website, <https://www2.fmc.gov/oti/FF.aspx> (last visited October 5, 2022).)

7. Epic’s logo includes a vessel among other forms of transportation. (See, Ex. A to First Am. V. Compl., served Feb. 27, 2023, CApp10494-548 at 518.)

8. Epic's email signatures contained language stating that they offered ocean shipments. (Email from Ikemoto to Manzanarez, dated Oct. 22, 2021, CApp10557.)

9. At the time Epic was retained to ship TPG's cargo subject to this action, Epic maintained a public website where it advertised its shipping and freight services as "all in", "door-to-door" and "door-to-port" for "international shipping needs." *See*, Ex. A to First Am. V. Compl., CApp10494-548 at 518-20.)

3. **Omni Logistics, LLC**

10. Omni Logistics LLC was and is a limited liability company organized under the laws of the State of Delaware with its current mailing address at 3200 Olympus Blvd., Suite 300, Dallas, Texas 75019. (Resp'ts' Answer & Affirmative Defenses to First Am. V. Compl. ¶ 4 (admitted), CApp10996-11007 at 97.)

11. Omni was licensed as an NVOCC with license No. 18469 from at least June 14, 2019 until at least the date of the Notice of Filing of this action on November 29, 2022 ("**Omni's Tariff**", dated June 14, 2019, CApp10720-48; Resp'ts' Answer & Affirmative Defenses to First Am. V. Compl. ¶ 6 (admitted), CApp10996-11007 at 97.)

12. Omni's Tariff was published and available to the public for a fee. (Omni's Tariff. CApp10720-48.)

13. Omni is also licensed as an ocean freight forwarder. (Ex. A to First Am. Compl. CApp10494-548 at 513.)

14. Omni maintained a public website where it advertised its shipping and freight services as "all in" or "door-to-door", including "ocean freight" and "overseas shipping" for international shipping needs. (Ex. A to First Am. V. Compl., CApp10512-17.)

15. Omni's public website touted its NVOCC status. (Ex. A to First Am. V. Compl., CApp10512-17.)

16. Omni published its Terms and Conditions on its website on its own behalf and on behalf of its subsidiaries. (Ex. B to First Am. V. Compl., CApp10522- 39 (Omni's Business Terms, ¶ 1 Definitions (B) "'Company' shall mean Omni Logistics, LLC, its subsidiaries, affiliates, related companies, agents and/or representatives").)

17. Omni's Terms and Conditions refer to the Hague Rules and Hague-Visby Rules applicable to ocean carriers, and to the Carriage of Goods by Sea Act. (*Id.* at ¶ 5, Remedies and Limitations of Liability ("Customer agrees that Omni's liability to Customer and/or any customer, client, shipper, or consignee of Customer (a "Shipping Party") for Cargo lost or damaged shall be governed by the liability provisions contained in the following international conventions or statutes, as applicable and without limitation: ... the International Convention for

the Unification of Certain Rules Relating to Bills of Lading, August 25, 1924 (the “Hague Rules”); the Protocol to Amend the Hague Rules, February 23, 1968 (“Hague-Visby Rules”)...”).

18. Omni’s Terms and Conditions seeks to limit Omni’s and its subsidiaries’ liability for loss of cargo. (*Id.*, CApp10522- 39.)

B. TPG Begins Working with Epic

19. TPG began working with Epic on or about 2015-2016. (*See*, Manzanarez Dep. (Epic) 44:8-10, Sept. 28, 2023, CApp10220.)

20. TPG “is not in the business of shipping. [TPG does not] know what goes and what variabilities we had to deal with. [The Respondents] are the experts in this business so [TPG] asked them to price everything from point A to point [Z].” (*See*, Basiri Dep. 53:21-24 Sept. 14, 2023, CApp10396.)

21. TPG relied on Epic to provide ocean and other transportation services for TPG’s Shipments from ports outside the United States to ports in the United States or to TPG’s job sites in the United States through ports in the United States via ocean carriage. (Basiri Decl. ¶ 13, 14; Shipment Chart, CApp11020.)

22. TPG’s understanding, when contracting with Epic and later Omni, was that Respondents were “responsible for arranging shipping [TPG]’s goods from the time the container or flatbed was loaded at [TPG]’s facility all the way to the point where it was unloaded by [TPG]’s clients in the United States.” (*See*, Basiri Dep. 53:3-7, Sept. 14, 2023, CApp10396.)

23. TPG would email Epic requesting a quote for a particular construction project, specifying the estimated number of containers, the origin, and the destination, and Epic would respond with the freight cost, pre pull cost, chassis cost and minimum days, handling fee, ISF charge, customs clearance charge, and wait time rate, as well as the terms (for example, door to door). (Basiri Decl. ¶ 9; *see also*, *e.g.*, CApp10122-200.)

24. Sometimes TPG accepted the initial offer, sometimes TPG asked if the rate could be improved. (Basiri Decl. ¶ 11.)

25. Epic and later Omni then provided services to TPG on the basis of purchase orders, which listed freight service rates and other rates, and which TPG issued to Epic. (Basiri Decl. ¶ 11; *see also*, *e.g.*, CApp10201-08.)

26. Epic and Omni issued invoices for services to TPG after services were rendered. (Basiri Decl. ¶ 12; *see also* Shipment Chart, CApp11020.)

27. Epic's and Omni's invoices included a line item for "freight". (Shipment Chart CApp11020.)

28. Epic's (and later Omni's) services to TPG were generally provided on a door-to-door basis. (Ikemoto Dep. (Epic) 46:11-14, Sept. 29, 2023, CApp010301; *see also, e.g.*, CApp10122-200; Basiri Decl. ¶ 14.)

C. Omni Purchases Epic In 2021

29. Starting November 2020, TPG started receiving invoices from Epic directing payment to be made to Omni. (*See, e.g.*, Shipment Chart, CApp11020.)

30. Effective April 2, 2021, Omni purchased Epic (the "**Merger**"). (Manzanarez Dep. (Epic) 12:22-23, CApp010212; Amended & Restated Operating Agreement of Epic Freight Solutions LLC, dated April 2, 2021 (hereinafter, "**Epic Operating Agreement**"), CApp10895-903.)

31. As part of the Merger, Epic became Omni's wholly owned subsidiary effective April 2, 2021. (Resp'ts' Answer & Affirmative Defenses to First Am. V. Compl. ¶ 14 (admitted), CApp10996-11007 at 98.)

32. Accordingly, Omni terms and conditions applied to all business between Omni and Epic going forward. (Ex. B to First Am. V. Compl., CApp 10522- 39.)

33. In or about June 2021, Epic and Omni informed TPG that Epic was partnering with Omni as Omni's wholly owned subsidiary. (Manzanarez Dep. (Epic) 27:17-25; 28:15-24, CApp010216.)

34. Epic also informed TPG that it was "rebranding to Omni Logistics LLC" and that its headquarters were now in Dallas, Texas, instead of in California. (Basiri Decl. ¶ 6.)

35. Neither Epic nor Omni disclosed TPG the exact nature of their post-Merger relationship. (Basiri Decl. ¶ 7.)

36. There was no official communication about this Merger, only a note at the bottom of the signature block in Respondent's emails. (*See*, Manzanarez Dep. (Epic) 27:17-25; 28:15-24, CApp010216; Email dated June 16, 2021, from Manzanarez to Basiri, CApp011020.)

37. The Merger did not change the people with whom TPG communicated at Epic and later at Omni; the Epic employees TPG dealt with before the Merger became Omni employees in 2021 when Epic transitioned to Omni. (Manzanarez Dep. (Epic) 14:1-21; 36:9-11, CApp010213, CApp010218.)

38. For example, David Ikemoto, Epic's former Director of International Operations, became Omni's Logistics Director of International Operations. (Manzanarez Dep. (Epic) 32:17-19, CApp010217; Basiri Dep. 46:9-15 (Sept. 14, 2023), CApp10395.)

39. After the Merger, Epic continued working with the same agents and drayage partners it used prior to the Merger. (Manzanarez Dep. (Epic) 36:3-8, CApp010218.)

D. TPG Retains Epic for the Shipments at Issue In This Case

40. Epic, and later Omni, submitted to TPG quotations for the shipping of TPG's cargo on the "door-to-door" terms from places outside the United States, such as Colombia, to places within the United States. (*See*, Basiri Decl. ¶ 8, 14.)

41. Initially quotes came from Epic and later from Omni. (Basiri Decl. ¶ 7.)

42. TPG then submitted purchase orders to Epic and Omni. (Basiri Decl. ¶ 7.)

43. Initially, TPG made purchase orders to Epic but when Epic became Omni the purchase orders were made to Omni. (Basiri Decl. ¶ 7.)

44. Respondents' quotes never showed rates for demurrage, storage, or detention, nor the number of free days. (*See*, Basiri Decl. ¶ 9; *see also*, *e.g.*, CApp10122.)

45. Respondents' invoices and the Bills of Lading provided reflect that the Shipments were all by vessel over international waters to ports in the United States. (*See*, Shipment Chart, CApp11020.)

46. TPG did not select the VOCCs, NVOCCs, or any other entity involved in bringing TPG's cargo to the United States and to TPG's client's door; the Respondents did so, and also handled all aspects of transportation of TPG's shipments. (*See*, Basiri Dep. 53:3-7; 53:21-24 (Sept. 14, 2023), CApp10396; *see also*, Ikemoto Dep. (Epic) 39:14-25; 40:1-3; 41:22-25; 42:1-9, CApp010299-300.). The service providers Respondents used either have no tariff or the tariff was not provided to TPG. (Basiri Decl. ¶ 9, 17.)

47. Once Respondents took control of the cargo, TPG did not have control of its cargo or the way in which it was going to be transported; Respondents handled everything, and the charges assessed by third parties, including steamship lines, were passed to TPG. (Ikemoto Dep. (Epic) 39:14-25; 40:1-3; 120:6-11, CApp010299, 319.)

48. Respondents had such full control of TPG's cargo that they could refuse to transition control to TPG. (Manzanarez Dep. (Epic) 67:6-15, CApp10226).

49. Respondents would not transition control of any given container to clients that it determined “were never going to pay;” transitioning “responsibility [of a container] over to the client” was an “option.” (Manzanarez Dep. (Epic) 67:6-15, 69:7-16, CApp10226.)

50. TPG had no direct contact with the steamship lines or other service providers; if TPG had any questions about the status of a shipment, it would call Epic and Omni. (Ikemoto Dep. (Epic) 41:6-25, 42:1-9, 48:4-18, CApp010299-301.)

51. Accordingly, Respondents entered into affreightment agreements directly with entities, such as World Cargo International S.A.S., in Respondents’ own names. (Ikemoto Dep. (Epic) 39:14-25; 40:1-3 CApp010299.)

52. Respondents resold these transportation services from other common carriers and service providers to TPG at a markup. (Manzanarez Dep. (Omni) 10:1-15, CApp010277; Manzanarez Dep. (Epic) 106:22-25, 107:1-25, 108:1-15, CApp010236; Ikemoto Dep. (Epic) 39:14-25; 40: 1-17, CApp010299.)

53. Respondents issued freight invoices to and collected payment from TPG, and then paid downstream NVOCCs and service providers such as World Cargo International S.A.S. (Manzanarez Dep. (Omni) 10:1-15, CApp010277; Manzanarez Dep. (Epic) 106:22-25, 107:1-25, 108:1-15, CApp010236; Ikemoto Dep. (Epic) 39:14-25; 40: 1-17, CApp010299.)

54. Respondents engaged a customs house broker to clear TPG’s shipments with U.S. Customs. (Basiri Dep. 17:14-25 (Sept. 15, 2023), CApp10456); *see also, e.g.*, Invoice from Scott Ryan Allman Customs House Broker issued to Epic on March 3, 2022, for services to TPG, CApp011018.)

55. The customs house broker billed Respondents directly, and Respondents collected monies from TPG for his work clearing the cargo. Invoice from Scott Ryan Allman Customs House Broker issued to Epic on March 3, 2022, for services to TPG, CApp011018.)

56. Respondents also leased containers for TPG shipments. (Email from Ikemoto to TPG, dated June 30, 2021, CApp10580.)

57. Respondents often used a company credit card to make payments to the service providers they retained to handle TPG’s cargo, charges they later passed to TPG. (Ikemoto Dep. (Epic) 120:7-17, CApp010319; *see also* Shipment Chart, CApp11020.)

58. Epic and Omni had no internal controls regarding credit card charges or limits to authorization. (Ikemoto Dep. (Epic) 120:22-25, 121:1-25, 122:1-25, 123:1-25, 124:1-19; 125:22-25, CApp010319-320.)

59. The Respondents were listed as shipper, consignee, notify party, or entity to contact for delivery on draft bills of lading and on arrival notices. (Ikemoto Dep. (Epic) 46:11-16, CApp010301.)

60. Respondents received compensation only from TPG, not from carriers or other parties. (Omni's Objections and Resp. to Complainant's First Set of Interrogs. No. 12 (June 22, 2023), CApp10980-95; Epic's Objections and Resp. to Complainant's First Set of Interrogs. No. 12 (June 22, 2023), CApp10904-18.)

61. TPG had no knowledge of the terms and conditions between the Respondents and any of the companies the Respondents retained to service TPG's shipments because the Respondents never informed TPG of those terms and conditions. (Ikemoto Dep. (Epic) 49:9-16, CApp010301.)

E. Failures of Complainants' Invoices

62. Before the Merger with Omni, Epic used an outside firm to handle Epic's accounting and collections. (Manzanarez Dep. (Epic) 33:16-25, 34:1-6, CApp010217-218; Ikemoto Dep. (Epic) 66:12-23, CApp10306.)

63. After the Merger, Epic let the outside accounting firm go and began using Omni's accounting and collection personnel. (Manzanarez Dep. (Epic) 33:16-25, 34:1-6, CApp010217-218; Ikemoto Dep. (Epic) 66:12-23, 10306.)

64. At about the same time as the Merger, Epic's invoices started listing payment directions to Omni. (Basiri Decl. ¶ 7; Shipment Chart, CApp11020.)

65. TPG believed that it was now doing business with Omni instead of Epic. (Basiri Dep. (Sept 14, 2023) 47:16-21, CApp10395.)

1. February-September 2021

66. As early as February 1, 2021, TPG ask that Epic and Omni "please make sure you notify us of any additional charges prior to incurring and provide options for us, so we can make an informed decision together as a team." (Email from Basiri to Manzanarez, dated Feb 1, 2021, CApp011008.)

67. TPG also objected to additional "admin" fees on its account that had not previously been negotiated. (Email from Basiri to Manzanarez, dated Feb 1, 2021, CApp011008.)

68. The issues continued into March of 2021, which internal persons at Epic recognizing the deficiencies. (Email string between Ikemoto and Reiss, dated March 29-30, 2021, CApp10570-72.)

69. By mid-June 2021—just a few months after the Merger was official—Epic’s President Mr. Robert Reis began to raise concerns internally about Epic’s own inability to handle their accounts. (Email from Reis to unidentified persons, June 18, 2021, CApp10682.)

70. By August 2021, Epic and Omni were requesting payment for invoices that had never been submitted to TPG. (Email from Perez to Manzanarez, dated Aug. 24, 2021, CApp10674.)

2. October 2021

71. By October of that year, Epic and Omni had not made any changes to their practices, which to the contrary were deteriorating further.

72. For example, on October 25, 2021, Epic and Omni escalated to threatening credit reports for invoices TPG had never received. (Email from Defillo-Stukes to Perez, Basiri, Manzanarez, dated Oct. 25, 2021, CApp10670; Email from Basiri to Defillo-Stukes, dated Oct. 25, 2021, CApp10669; Email from Basiri to Manzanarez, dated Oct. 25, 2021, CApp10562.)

73. On October 25, 2021, Manzanarez emailed Ikemoto and Reis, saying that TPG “continues to provide these examples”, referring to Epic and Omni’s aggressive behavior over invoices TPG never received. (Email from Manzanarez to Ikemoto and Reis, dated Oct. 25, 2021, CApp10561.)

74. On October 28, 2021, Manzanarez again confirmed that TPG had not received a number of invoices Epic and Omni claimed. (Email from Manzanarez to Defillo-Stukes, dated Oct. 28, 2021, CApp10615.)

75. On October 29, 2021, TPG noted that invoices were still not being sent but remained claimed, invoices with no container number or project reference. (Email from Hernandez to Defillo-Stukes, dated Oct. 29, 2021, CApp10613-17.)

76. The invoices that Epic and Omni had sent to TPG lacked supporting documentation or were not intended for TPG at all. (*See, e.g.*, Email from Hernandez to Defillo-Stukes, dated Oct. 29, 2021, CApp10613-34; Email from Manzanarez to Basiri, Oct. 25, 2021, CApp10562-70.)

77. The systemic billing and records disorganization spread to a general lack of responsiveness, and TPG informed Epic/Omni that TPG was taking new projects away from Epic/Omni as a result. (Email from Manzanarez to Ikemoto and Reis, dated October 21, 2021, CApp10557-59.)

78. On October 22, 2021, Ikemoto stated “We will get better, MC coming on board on Monday will be the difference as she as account management and ocean experience.” (Email from Ikemoto to Manzanarez and Reis, dated Oct. 22, 2021, CApp10557.)

79. David Ikemoto later stated in an internal email on October 25, 2021, that Epic and Omni had a shortage of personnel to handle their workload and that he was “trying to juggle accounts that would [sic] have more support then [sic] just myself.” (Email from Ikemoto to Manzanarez and Reis, dated Oct. 25, 2021, CApp10581.)

80. Epic’s Executive VP, Yohanse Manzanarez, responded that same day “[t]his is a WE issue --- Robert [Reis] and I bear most of the fault here.” *Id.*

3. November 2021

81. In November 2021, the issues with insufficient documentation of the invoices escalated. For example, claimed invoices had never been received, omitted the project for which they were issued, had no proof of delivery, or lacked a container number. (Emails between Hernandez and Defillo-Stukes, dated Nov. 12-29, 2021, CApp10645-54.)

82. Invoices were still being claimed but not sent to TPG. (*See, e.g.*, Email from Hernandez to Defillo-Stukes, dated November 17, 2021, CApp10605.)

83. This continued on November 22, 2021, with TPG receiving invoices that were not for TPG. (*See, e.g.*, Email from Hernandez to Defillo-Stukes, dated November 22, 2021, CApp10604.)

84. And again, on November 23, 2021, TPG noted that documentation was incomplete. (*See*, Email from Hernandez to Defillo-Stukes, dated November 23, 2021, CApp10601.)

85. And again, on November 23, 2021, Epic and Omni sent invoices without container numbers. (*See*, Email from Hernandez to Defillo-Stukes, dated November 23, 2021, CApp10600.)

4. Excessive Demurrage in November

86. TPG also started seeing excessive demurrage, storage, and other charges in the invoices Epic and Omni issued, as well as charges that did not match the charges on the entry summary, and/or that lacked supporting documentation. For example, Epic invoices 1535499, 500, 501, 502, 503, 504, 505, 506, 507, 508 for BL 60403043 dated November 11, 2021, for the Bay Park project *each* have over \$4,000 USD in demurrage charges. (*See* Shipment Chart, CApp11020; *see also* Email from Basri to Defillo-Stukes, Nov. 30, 2021, CApp10643 (stating “I’m still reviewing Bay Park invoices with excessive demurrage/detention fees.”).)

87. The freight rate for these shipments as \$5,010.00 per container. (*See* Shipment Chart, CApp Shipment Chart, CApp11020.)

88. Eight of these containers were charged more in demurrage than it cost to ship them. (*See* Shipment Chart, CApp11020.)

89. In fact, 31 invoices Epic issued on November 11, 2021, for the Bay Park project have an aggregate of \$112,200 in demurrage charges close to the cost to ship them (\$150,300). (*See* Shipment Chart, CApp11020.)

90. Epic and Omni never provided supporting documents or any explanation for these excessive demurrage charges that would allow TPG to evaluate the validity of the charges. (*See* Shipment Chart, CApp11020; Basiri Decl. ¶ 22, 24.)

91. These November 2021 shipments were the first time since Epic and TPG started working together that excessive demurrage had become an issue. (*See* Shipment Chart (pre- Nov. 2021 demurrage charges), CApp11020.)

92. TPG had other shipments Epic and Omni were not handling coming in at the same ports, and was not seeing the same excessive demurrage charges from other providers, leading TPG to conclude that port congestion could not be the culprit. (Basiri Dep. 27:9-12, 28:15-25, 29:1-8, Sept. 14, 2023, CApp10390.)

93. By December 7, 2021, TPG was still trying to obtain invoices with supporting documentation. (Email from Hernandez to Defillo-Stukes et al., Dec. 7, 2021, CApp10594-95 (“I’ve added notes to the excel sheet so you know what’s been sent to AP and what we are still pending documents for.”).)

94. On December 14, 2021, at least 30 invoices were still pending full documentation. (Emails between Hernandez and Ikemoto, Dec. 14, 2021, CApp10594.)

95. On December 20, 2021, TPG was still asking for supporting documentation, such as congestion surcharge documents and taxes/duties. (Email from Hernandez and Ikemoto, Dec. 14, 2021, CApp10593.)

5. January and February 2022

96. TPG’s requests for additional information continued into January, when TPG again emailed Omni and Epic regarding missing documentation. (Email from Hernandez to Manzanarez et al., Jan. 5, 2022, CApp10589-90.)

97. Omni and Epic were aware of the problems and their scope, and internally admitted that TPG was correct. For example, on January 6, 2022, Chen of Omni noted that there was an ongoing problem in providing supporting documentation. (Email from Chen to Manzanarez, Jan 6, 2022, CApp10588.)

98. That same day, Yohanse Manzanarez stated in an internal email with respect to Omni and Epic's problems providing TG supporting documentation, "we [our team] has not managed this process well this past year." (Email from Manzanarez to Chen, dated Jan. 6, 2022, CApp10587-88.)

99. On January 7, 2022, Manzanarez added "Thompson is a great group and extremely transparent. They want to get current. We need to do a better job internally." (Email from Manzanarez to Chen, Moran, and Reis, dated Jan. 7, 2022, CApp1058788.)

100. Manzanarez, emphasized "John...this is our issue --- not Thompson. We are not notifying them about increases in pricing or billing properly. These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue." (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631.)

101. He later stated again: "We have done a terrible job of managing this account." (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631.)

6. Demurrage Issues Return in February 2022

102. There were no problematic demurrage charges in January 2022. (See Shipment Chart, CApp11020.)

103. By February 8, 2022, however, significant demurrage charges began to appear on invoices again, with no supporting documentation. (See Shipment Chart, CApp11020.)

104. Some demurrage charges were as high as \$5,468.21 with no supporting documentation. (See Shipment Chart, CApp11020.)

105. Problematic demurrage charges Epic and Omni incurred in February of 2022 on TPG's containers amounted to \$36,866.13. (See Shipment Chart, CApp11020.)

106. Of those charges, Epic and Omni only provided supporting documentation from the port or carrier for \$25,427.78. (See Shipment Chart, CApp11020.)

7. March and April 2022 – Demurrage, Unsubstantiated Charges

107. By March 2022, the issues had not abated and the parties were having calls to sort out the issues. (See Email from Moran to unknown, dated March 31, 2022, CApp10684.)

108. Port congestion charges were incorrectly billed, demurrage charges were incorrect, chassis and yard storage fees were incorrect, among other things. (*See* Email from Moran to unknown, dated March 31, 2022, CApp10684.)

109. In addition, demurrage charges continued accumulating on containers that Epic and Omni were not extracting timely, again as high as \$5,468.21. (*See* Shipment Chart, CApp11020; for example, Invoice 7203231 00.)

110. Problematic demurrage charges Epic and Omni incurred in March of 2022 on TPG's containers grew to \$58,173.70. (*See* Shipment Chart, CApp11020.)

111. Epic and Omni were only able to provide supporting documentation from the carrier or terminal for said demurrage for \$14,570.00. (*See* Shipment Chart, CApp11020.)

112. On April 1, 2022, Mr. Ikemoto sent an internal email to Omni's International Account Manager, Brenda Quinones, detailing the issues the TPG account was having, which included errors in the information entered in the invoices, failure to communicate with TPG, failure to upload all the required documentation, and inaccuracy in container numbers, among other things. (Email from Ikemoto to Quinones, dated April 1, 2022, CApp10690-91.)

113. The response to this email from Ms. Quinones further confirms Respondents' systemic lack of organization and that the personnel issues raised internally back in 2021 had not been remedied. (Email from Quinones to Ikemoto, dated April 1, 2022, CApp10689-90.)

114. Ms. Quinones reiterated, as Mr. Reis had noted in June 2021 ("finite amount of resources in personnel"), and as Mr. Ikemoto had previously done in October 2021, that "this is not a one person account. ... organization ... is very lacking , [sic] There are no standard operationg [sic] procedures (SOP) ..." (Email from Quinones to Ikemoto, dated April 1, 2022, CApp10689-90.)

115. Ms. Quinones noted that she "asked for help. Personnel was assigned and then removed several times. Training someone takes time away from my day to only have the person removed from the account within a weeks time." (*Id.*)

116. She also identified concerns with agents Omni was using in Colombia and slow payment by Omni which led to problems with truckers. (*Id.*)

117. Simultaneously, substantial demurrage charges were again escalating, sometimes exceeding \$15,000 on a single container. (Shipment Chart, CApp11020, invoice 7205689 00.)

118. Problematic demurrage charges Epic and Omni incurred in April of 2022 on TPG's containers grew to \$114,029.01. (*See* Shipment Chart, CApp11020.)

119. Epic and Omni were only able to provide supporting documentation from the carrier or terminal for said demurrage for \$24,800 of the \$114,029.01. (See Shipment Chart, CApp11020.)

120. Further, in April of 2022 Epic and Omni incurred over \$63,000 in chassis charges, with some containers incurring over \$7,000 a piece in chassis charges and over \$15,000 in storage charges. (See Shipment Chart, CApp11020.)

INV BATES	Invoice Number	INVOICE DATE	CONTAINER #	PORT OF DISCHARGE	MBL / BOL NUMBER	CHASSIS	STORAGE CHARGES
43240	1536226.00	4/20/2022	BMOU5969929	N/A	N/A	\$ 7,290.00	\$ 15,390.00
43237	1536228.00	4/20/2022	DRYU9778562	N/A	N/A	\$ 7,290.00	\$ 15,390.00
43234	1536229.00	4/20/2022	TCNU1063230	N/A	N/A	\$ 7,290.00	\$ 15,390.00
43231	1536230.00	4/20/2022	TCNU195569	N/A	N/A	\$ 7,290.00	\$ 15,390.00
43228	1536231.00	4/20/2022	YMLU8882640	N/A	B993000238	\$ 7,335.00	\$ 15,485.00

121. On April 5, 2022, Omni created a “standard operating procedures” (“SOP”) document for TPG’s shipments. (Email from Manzanarez to unknown, dated April 5, 2022, CApp011015.)

122. The SOP specifically stated implemented a 5% markup on pass through costs. (Email from Manzanarez to unknown, dated April 5, 2022, CApp011015.)

123. Omni refused to share the SOP or the 5% markup with TPG. (Email from Manzanarez to Holland, Ikemoto, Moran, Quinones, Milla, dated April 5, 2022, CApp011014.)

8. **May 2022 – Additional Unnecessary Demurrage, Unsubstantiated Charges**

124. By early May 2022 the situation was becoming dire and substantial unreasonable demurrage charges were mounting. (Email from Basiri to Manzanarez, dated May 11, 2022, CApp10717-18.)

125. Problematic demurrage charges Epic and Omni incurred in May of 2022 on TPG’s containers swelled to \$206,139.47. (See Shipment Chart, CApp11020.)

126. Epic and Omni were only able to provide supporting documentation from the carrier or terminal for said demurrage for \$55,247.30. (See Shipment Chart, CApp11020.)

127. By May 6, 2022, TPG informed Omni and Epic that TPG was going to engage a third party to “assist [Omni] because Omni was proving incapable of getting the containers

released and the chassis returned.” (Basiri Decl. ¶ 23; Email from Basiri to Manzanarez, dated May 13, 2022, CApp10713-14.)

128. On or about May 7, 2022, TPG engaged MCM Transportation to assist Omni in pulling containers. (Basiri Decl. ¶ 23.)

129. TPG put Epic and Omni directly in touch with MCM Transportation to avoid paying double demurrage charges. (Email from Heaton to Ikemoto and Murillo, dated May 11, 2022, CApp10693-99.)

130. TPG noted to Omni and Epic on May 11, 2022, that its “main focus has been to find a remedy for all the containers that were at New Jersey Port subject to demurrage and other charges that Omni failed to deliver to our client in a reasonable time frame. ... At one point in the near future, we will have to have a broader conversation on who’s [sic] liability, [sic] the demurrage charges will have to fall under.” (Email from Basiri to Manzanarez, dated May 11, 2022, CApp10717.)

131. TPG identified a certain number of containers that it would request MCM Transportation to remove from the port, and while Omni acknowledged TPG’s communication, Omni still made movement appointments for the containers contrary to TPG’s instructions, and consequently wrongly informed the third party that the appointments had been cancelled. (Bezad Decl. ¶ 23.)

132. Nevertheless, MCM Transportation was able to pull TPG’s approximately 25 containers by May 10, 2022, while Omni and Epic had lagged causing TPG to incur demurrage unnecessarily. (Email from Murillo to Holland, dated May 13, 2022, CApp10693-99; Email from Basiri to Manzanarez, dated May 13, 2022, CApp10710-12; Basiri Dep. 28:15-25, 29:1-8 (Sept. 14, 2023) CApp10390.)

133. Simultaneously, on May 12, 2022, Omni and Epic wrote to TPG, stating “claiming [Omni and Epic] were negligent ... does not excuse any payment obligations.” (Email from Manzanarez to Basiri, dated May 12, 2022, CApp10713.)

134. Manzanarez further stated that Omni and Epic believed it to be an option to withhold containers until full payment was made. (Email from Manzanarez to Basiri, dated May 12, 2022, CApp10714 (stating “Thompson Pipe will pay account in full prior to last container being delivered.”).)

135. TPG responded in detail, stating that “Omni show[s] no concern for the egregious [demurrage] that TPG has been subject to on an ongoing basis.” (Email from Basiri to Manzanarez, dated May 13, 2022, CApp10711.)

136. On May 17, 2022, Omni wrote to TPG, stating “No additional freight for TPG will be delivered until Omni receives the \$1.7 Million owed for freight handled and delivered.” (Email from Heathcock to Basiri, dated May 17, 2022, CApp10705.)

137. The email further stated “After the \$1.7M is received, we will deliver the remaining 81 containers or so as they arrive on a ‘cash’ basis paid and received in advance.” (Email from Heathcock to Basiri, dated May 17, 2022, CApp10705.) TPG paid \$361,094.39 and then another \$417,000, sums it disputes, to get the cargo flowing again. (Basiri Decl.26.) In the meantime, Omni’s and Epic’s actions caused real harm to TPG because they prevented TPG from pulling containers. (See Ex. D. to First. Am. V. Compl., CApp10546.)

9. Excessive Demurrage

138. Respondents did not provide TPG any information concerning whether Respondents investigated if the demurrage charges had been properly assessed, or why Respondents had such trouble obtaining appointments to pull containers. (Basiri Dep. 26:2-25, 27:1-22, 29:2-25, 30:1-25, 31:11-22, 76:1-21; 77:17-25, Sept. 14, 2023, CApp10390-91, 10402.)

139. TPG continuously asked Respondents why they were unable to pick up containers, but never received a response. (*Id.*)

140. Respondents also did not provide information about start of free time or when that free time would expire. (Basiri Dep. 89:10-12, Sept. 14, 2023, CApp10405.)

141. Respondents did not ultimately provide the documentation that TPG requested and needed for processing the Respondents’ invoices. (Basiri Dep. 85:20-25; 86: 1-25; 87: 1-17, Sept. 14, 2023, CApp10404-10405.)

10. June 2022

142. Even after June 16, 2022, when OSRA was enacted, the invoices Respondents issued to TPG lacked the required information under the new regulation. (*See* Shipment Chart, CApp11020, invoices issued after OSRA.)

143. Invoices Respondents issued after OSRA was enacted contain \$59,789.47 in demurrage charges. (*See* Shipment Chart, CApp11020.)

F. Damages

144. The invoices that are the subject of this action are identified in the Shipment Chart filed herewith (CApp11020) and an analysis of the documents TPG provided to support the invoice charges is attached hereto as Exhibit A.

145. The following columns merit further explanation:
- a. Y: Demurrage charge amount listed on Epic's or Omni's invoice to TPG.
 - b. AA: Demurrage charge amount listed on the invoice of the entity (carrier, port) assessing demurrage.
 - c. AC: Whether documents show a credit card payment, and in what amount
 - d. AD: The sum paid for demurrage according to a receipt for credit card payment, if any.
146. Respondents invoices a total of \$546,445.69 of demurrage to TPG. (*See Shipment Chart, CApp11020; Damages Chart CApp11019.*)
147. \$93,335.34 of demurrage charges have been supported by carrier or port invoices. (*See Shipment Chart, CApp11020.*)
148. Respondents invoiced a total of \$139,728.19 in storage charges to TPG. (*See Shipment Chart, CApp11020.*)
149. Respondents invoiced a total of \$161,538.75 in chassis charges to TPG. (*See Shipment Chart, CApp11020.*)
150. Respondents' withholding of containers beginning on May 17, 2022 caused TPG damages for demurrage and other charges \$18,367.10. (*See Shipment Chart, CApp11020.*)